

you find the perfect house, and she entreats you to put it in your name to keep the family's biggest asset safe.

While she may be well intentioned, it's not a smart move. You never want to get into a situation where only one of you is entitled to that asset. That goes for everything you own. All of your family assets should be purchased under joint ownership, including vacation properties, boats and anything else you're buying. That way, there's no question of who gets what in the case of divorce. In the unfortunate event that you have to sell your assets, the proceeds will be split clean down the middle with fewer expensive legal fees to prove who owns what.

Money Mistake: *Your Family Assets Aren't Protected from External Forces*

The Fix: *Form a Trust*

"But Kevin," you say, "what if my husband gets sued and we lose our home because it's in his name?" My solution is simple: form a trust. A trust is a separate legal entity, much like a corporation in that it has its own trustees, its own benefactors and beneficiaries, and its own rules. Who gets to define those rules? You do. You determine how the trust will operate while you're alive and after you're gone. Then you put it in the hands of the trustees, ensuring that the assets remain out of your creditors' reach while still keeping them within your family's control. A trust can't be pierced by divorce or litigation. I've set up a bunch of different trusts for my family: the 1997 O'Leary Family Trust names Linda and the kids as beneficiaries, and then I did a separate one for just Savannah and Trevor. It's a great way to protect our family assets in perpetuity.

Let's say you decide to create a trust for your children. You move the family home into the trust, defining the mandate and who will manage it. After that, it doesn't change for generations. Your home is safe. Another beautiful thing about putting your house into a trust is that it precludes a lot of messy family quarrels after you've passed away. Your siblings, kids and stepkids can't fight for the assets. Even